



MARKET MONITOR

No. 51 – September 2017

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Roundup

Supply and demand prospects continue to point to a generally comfortable market situation for all AMIS crops in 2017/18. With the latest production forecasts indicating higher global outputs than earlier anticipated, especially for wheat, and large carryovers from the previous season, total supply in 2017/18 is likely to prove more than sufficient to meet projected demand. Indeed, ending wheat stocks are expected to hit a new high while maize inventories would only fall marginally below their already record opening levels. Rice and soybean markets would also remain well supplied if current production forecasts materialize.

Markets at a glance

	From previous forecast	From previous season
Wheat	▲	▲
Maize	▲	▼
Rice	■	■
Soybeans	▲	▼

▲ Easing ■ Neutral ▼ Tightening

The **Market Monitor** is a product of the Agricultural Market Information System (AMIS). It covers international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the eleven international organizations and entities that form the AMIS Secretariat.

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World supply-demand outlook

- **Wheat** production in 2017 raised by almost 9 million tonnes, reflecting this month's significant upward revisions mostly in the Russian Federation.
- Utilization in 2017/18 to approach the 2016/17 estimated record level as large global supplies stimulate food consumption.
- Trade forecast in 2017/18 (July/June) lifted by almost 3 million tonnes on stronger import demand particularly in Brazil and India.
- Stocks (ending in 2018) to hit an all-time high with the latest forecast 6 million tonnes higher than in July on expectation of bigger inventories in the Russian Federation.

WHEAT	FAO-AMIS			in million tonnes			
	2016/17	2017/18		USDA		IGC	
	est.	f'cast	6-Jul	est.	f'cast	est.	f'cast
			7-Sep		10-Aug		24-Aug
Production	760.3	739.9	748.8	755.0	743.2	754.2	742.2
Supply	981.7	987.0	996.0	997.9	1,001.7	979.7	986.2
Utilization	731.8	727.7	730.9	739.3	737.1	735.7	738.4
Trade	175.8	171.8	174.7	182.3	179.9	175.2	171.8
Stocks	247.3	255.8	261.9	258.6	264.7	244.0	247.8

- **Maize** production in 2017 set to reach a new high at nearly 1 063 million tonnes, 5 million tonnes higher than in July reflecting larger outputs in Latin America and the CIS.
- Utilization to expand by 1.3 percent in 2017/18 mostly driven by a 2.6 percent y/y growth in feed use.
- Trade in 2017/18 (July/June) heading towards a 5 percent expansion with the latest forecast 4 million tonnes higher than in July on larger imports by China, the EU and Mexico.
- Stocks forecast (ending in 2018) raised by 7.6 million tonnes mostly on higher-than-earlier anticipated build-ups in Brazil.

MAIZE	FAO-AMIS			in million tonnes			
	2016/17	2017/18		USDA		IGC	
	est.	f'cast	6-Jul	est.	f'cast	est.	f'cast
			7-Sep		10-Aug		24-Aug
Production	1,039.7	1,057.9	1,062.9	1,070.5	1,033.5	1,072.7	1,017.0
Supply	1,263.4	1,289.4	1,298.0	1,284.0	1,262.1	1,282.3	1,250.6
Utilization	1,032.4	1,055.4	1,057.2	1,055.4	1,061.2	1,048.7	1,055.0
Trade	132.2	140.0	144.3	162.4	152.0	138.7	145.5
Stocks	235.1	225.7	233.3	228.6	200.9	233.6	195.6

- **Rice** 2017 production upgraded somewhat, but still pointing to a modest expansion from the 2016 all-time high.
- Utilization in 2017/18 scaled up mostly on account of India and Thailand, which more than outweighed a reduction to China's forecast.
- Trade in 2018 forecast to remain brisk, with exports by Cambodia and China upgraded the most.
- Stocks in 2018 little varied y/y, as accumulations in rice importing countries compensate for drawdowns in the major exporters.

RICE (milled)	FAO-AMIS			in million tonnes			
	2016/17	2017/18		USDA		IGC	
	est.	f'cast	6-Jul	est.	f'cast	est.	f'cast
			7-Sep		10-Aug		24-Aug
Production	501.0	502.9	503.4	483.9	482.6	484.1	485.3
Supply	671.8	673.6	674.1	599.7	602.0	604.0	605.5
Utilization	499.9	505.6	506.5	480.3	479.1	483.9	487.5
Trade	44.5	44.4	44.8	43.1	43.7	41.9	42.4
Stocks	170.8	171.0	171.2	119.4	122.9	120.2	118.1

- **Soybean** 2017/18 production raised by 5.2 million tonnes, to now a near record level, following upward revisions for Brazil and the US more than offsetting lower forecasts in Argentina and India.
- Utilization virtually unchanged from the last forecast, confirming a below-average y/y growth of 3.5 percent.
- Trade forecast for 2017/18 revised further upwards, primarily reflecting higher export availabilities in the US.
- Stocks (2017/18 carry-out) lifted, based primarily on higher forecasts for Brazil. Global inventories are now forecast to drop only 1.5 million tonnes from last season's all-time record.

SOYBEANS	FAO-AMIS			in million tonnes			
	2016/17	2017/18		USDA		IGC	
	est.	f'cast	6-Jul	est.	f'cast	est.	f'cast
			7-Sep		10-Aug		24-Aug
Production	349.0	342.4	347.6	351.7	347.4	350.5	347.0
Supply	393.6	398.1	402.0	428.8	444.3	382.2	391.8
Utilization	336.5	346.4	347.4	329.2	343.3	337.4	351.4
Trade	145.9	149.0	150.3	145.0	151.2	142.8	148.7
Stocks	54.4	51.5	52.8	97.0	97.8	44.8	40.6



FAO-AMIS monthly forecast

To review and compare data, by country and commodity, across the three main sources, go to:
<http://statistics.amis-outlook.org/data/index.html#COMPARE>

Summary of revisions to FAO-AMIS monthly forecasts for 2017/18

in thousand tonnes

	WHEAT					MAIZE				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	8893	2879	3151	2892	6055	5059	4375	1767	4379	7622
Total AMIS	9885	3109	2780	3186	7613	3993	2520	427	4494	5966
Argentina	100	-	55	-	675	1330	-	-1670	1000	1500
Australia	-	-	-	437	-901	3	-	3	44	-
Brazil	-	1300	189	-	2011	5895	-500	1395	-	4000
Canada	-2200	-	-300	-300	-2600	-926	-520	324	-	-800
China Mainland	1000	-	-	-	702	-	1550	1500	-	1010
Egypt	-	-	-300	-	500	-	-	-	-	-
EU	500	-	950	-450	-	-2000	1500	165	-1000	-65
India	940	1000	1940	-	-	-	-	-	-	220
Indonesia	-	200	260	20	150	500	-400	905	-50	-400
Japan	-	359	24	24	-	-	-185	-323	-	-200
Kazakhstan	500	-50	-	300	100	57	-	-	-	57
Mexico	-300	-	-300	-	-	-2000	500	-2000	-	-
Nigeria	-	-	-	-	-	-	-100	-	-	-
Philippines	-	-	-	-	-	-	-	-	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	10000	-600	950	1500	6200	2000	-	1400	600	-
Saudi Arabia	-	-	-	-	100	-	-	-	-	-
South Africa	-197	-	-53	-	-325	782	-100	126	-	756
Thailand	-	-	-	-	-	-300	-	-300	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	1850	-	-	900	325	1150	-	-1000	3500	-1350
US	-2308	800	-680	1000	226	-2498	50	-723	400	1138
Viet Nam	-	100	45	-245	450	-	725	625	-	100

	RICE					SOYBEANS				
	Production	Imports	Utilization	Exports	Stocks	Production	Imports	Utilization	Exports	Stocks
WORLD	515	400	914	410	175	5175	1290	1037	1340	1392
Total AMIS	357	-135	155	200	135	5020	1090	828	1260	1197
Argentina	-	-	-	-	-	-500	100	50	-	-
Australia	-	-	15	-	-	-	-	-	-	-
Brazil	134	20	-16	-	200	2000	150	500	-	1719
Canada	-	-	35	-	-	325	-	100	-500	25
China Mainland	-636	-	-486	150	-200	400	200	600	-	200
Egypt	159	-	89	-	-80	-	100	100	-	-
EU	-	-	-	-	-	298	197	291	-	-
India	247	-	307	-	350	-1000	59	-591	-50	-300
Indonesia	-	-	-	-	-	-	-	-	-	-
Japan	-	-	-	-	-	-	-	-	-	-
Kazakhstan	-	-	-	-	-	-	-	-	-	-
Mexico	-	-	-	-	-	-	-	-	-	-
Nigeria	-	-	-	-	-	-	-	-	-	-
Philippines	379	-300	-53	-	-40	-	50	50	-	-
Rep. of Korea	-	-	-	-	-	-	-	-	-	-
Russian Fed.	-	-	-15	-	-	-300	100	-150	-	-50
Saudi Arabia	-	30	-15	-	-10	-	50	50	-	-
South Africa	-	-	-	-	-	107	-10	94	-30	33
Thailand	232	20	252	-	-	-	-	-	-	-
Turkey	-	-	-	-	-	-	-	-	-	-
Ukraine	-	-5	-10	-	-	260	-6	104	-60	100
US	-158	-	-28	50	-85	3430	-	-260	1900	-540
Viet Nam	-	100	80	-	-	-	100	-110	-	10

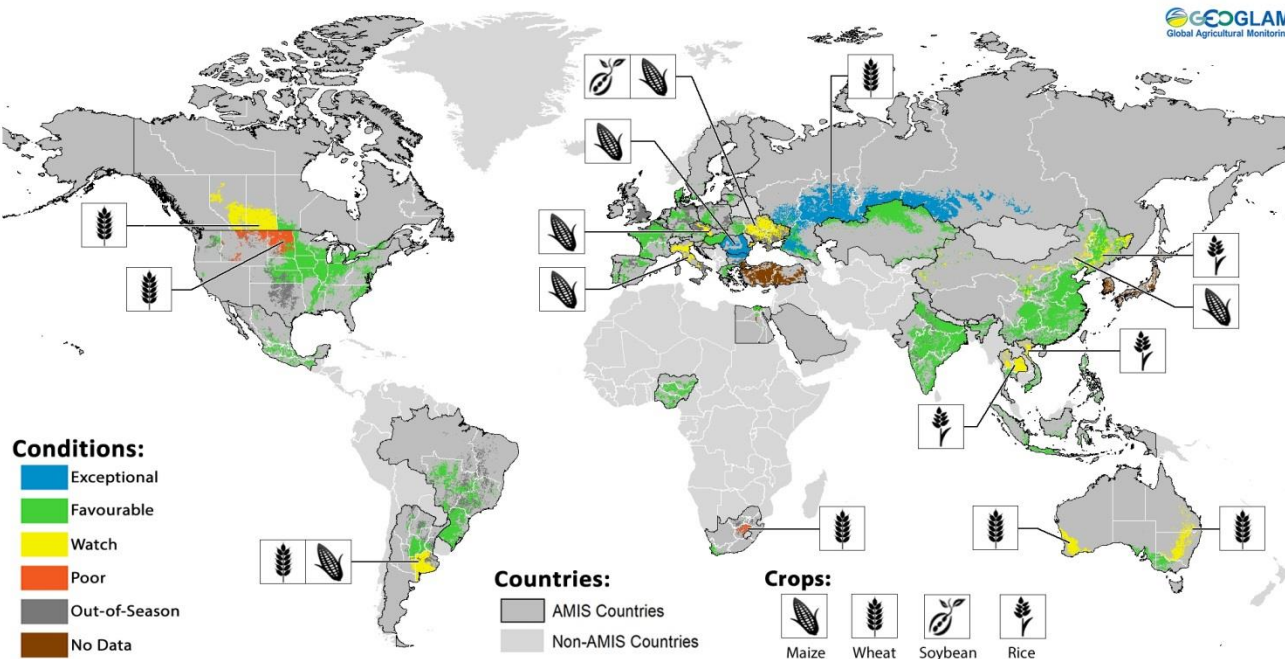


Numbers shown refer to changes in forecasts (in thousand tonnes) since the previous report.

Crop monitor

Crop conditions in AMIS countries (as of 28 August)

GEGLAM
Global Agricultural Monitoring



Crop condition map synthesizing information for all four AMIS crops as of 28 August. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Only crops that are in other-than-favourable conditions are displayed on the map with their crop symbol.**

Conditions at a glance

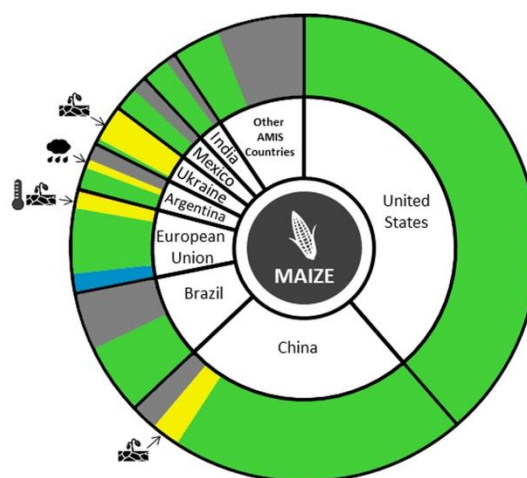
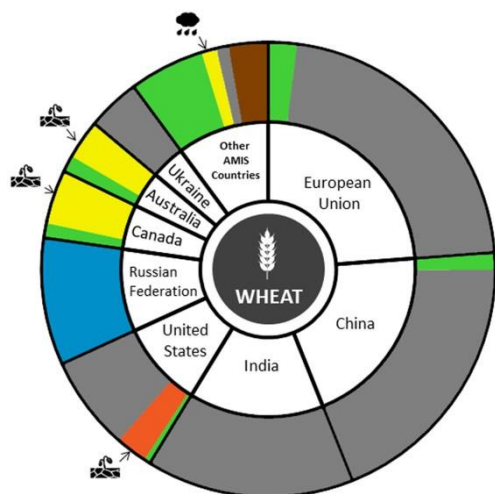
Wheat - In the northern hemisphere, conditions remain mixed as winter wheat harvest completes, and spring wheat harvest begins. The Russian Federation is experiencing exceptional conditions while in the northern plains of the US and southern prairies of Canada, dry weather persists for spring wheat. In the southern hemisphere, conditions remain mixed with adverse weather in Argentina and Australia.

Maize - In the southern hemisphere, conditions continue to be generally favourable as harvest wraps up in Argentina and Brazil. Conditions in the northern hemisphere are generally favourable, albeit with some

areas of concern in the EU, China, and Ukraine due to dry weather.

Rice – In Asia, conditions are mixed as heavy rainfall affects areas in the north of Viet Nam, northern Thailand, and northeast China. Conditions remain favourable in India, Indonesia and the Philippines.

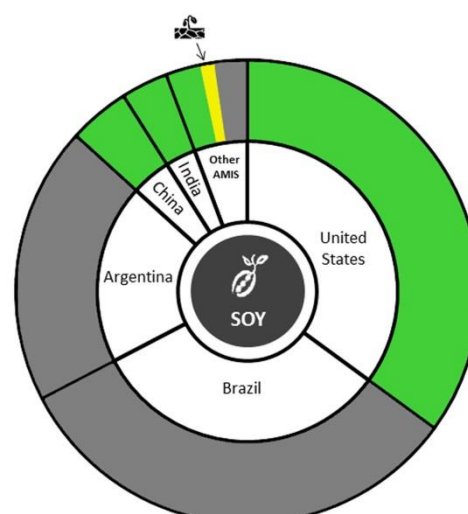
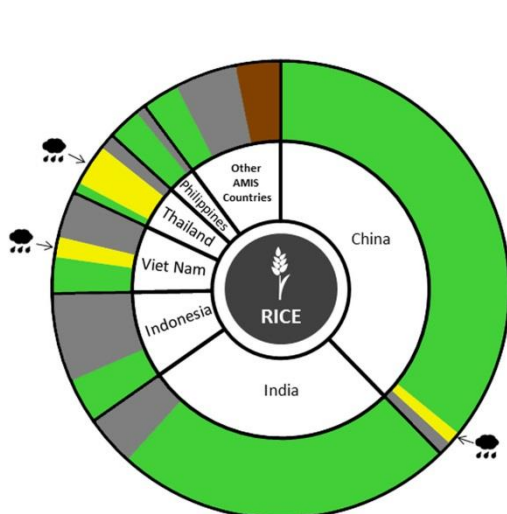
Soybean - In the northern hemisphere, conditions are generally favourable with the exception of dry conditions in Ukraine. In the southern hemisphere, new-crop plantings are still to begin.

Conditions:**Drivers:****Wheat**

In the **EU**, rains in western and northern Europe hampered harvesting and raised quality concerns, however overall yields are in line with the 5-year average as harvest is nearing completion. In the **Russian Federation**, conditions are exceptional for winter wheat as harvest is completing, while sowing for the next season has begun in some areas under favourable conditions. Spring wheat development continues under exceptional conditions with excellent yield prospects going into harvest. In **Kazakhstan**, conditions are generally favourable for spring wheat with the exception of dry conditions in Akmola, a main producing area. In **China**, spring wheat is under favourable conditions as harvest begins. In the **US**, harvest of spring wheat is wrapping up. Production in areas of the western Dakotas and Montana were significantly reduced due to drought. However, conditions in other parts of the spring wheat region were quite good. In **Canada**, conditions are mixed as dry conditions in the Southern Prairies are causing concern for spring wheat, while winter wheat yields in Ontario are average despite the cool wet season. In **Australia**, conditions have improved across southern production states with recent rainfall. However, dry conditions persist across northern areas in Western Australia, central and northern New South Wales and Queensland, where production is expected to be significantly affected in these areas. In **Argentina**, conditions are generally favourable as sowing is finishing, however new rains continue to delay final sowing in the southern areas.

Maize

In **Brazil**, harvest of summer-planted maize is closing under favourable conditions. An increase in planted area and yields led to an increase in production compared to last year. In **Argentina**, conditions are generally favourable as harvest wraps up although high soils moisture and high grain moisture are delaying remaining areas. In the **US**, conditions are favourable with good yield prospects as conditions improved in the Dakotas and the eastern Midwest. In **Canada**, cool wet weather continues to slow crop development in the main producing province of Ontario. In **Mexico**, conditions are favourable for the start of the spring-summer crop as rains have begun across the country. In the **EU**, overall conditions are favourable as rains mitigated heat stress in eastern Europe, but southern Europe is still affected by a drought that potentially damaged yields. In **Ukraine**, conditions are less than favourable as a lack of rain and a rapid drying of the soil have affected crops in the southern, central, and eastern regions. In **China**, spring maize is in generally favourable condition with the exception of dry conditions in eastern Inner Mongolia. Conditions are favourable for summer planted maize in the flowering stage. In **India**, conditions are favourable for the Kharif crop as good soil moisture levels positively impact continued crop development.

Conditions:**Drivers:**

Rice

In **China**, single-season rice is under generally favourable conditions except in the northeast due to heavy rainfall and low solar radiation. Late rice is under favourable conditions. In **India**, conditions are favourable with good soil moisture levels across the country for the Kharif crop currently in the vegetative stage. In **Indonesia**, conditions continue to be favourable for dry-season rice owing to adequate irrigation water and sunlight. Planting continues as the harvest of earlier planted rice enters the second month, with higher yields than last dry-season expected. In **Viet Nam**, conditions in the north are mixed due to heavy rains and flooding as sowing of wet-season rice has completed with an increase in area compared to last year. While in the south, harvesting of wet-season rice continues under favourable conditions with yields similar to last year. In **Thailand**, conditions are mixed as two tropical storms impacted the northern part of the country, providing ample rainfall though also causing some flood damage. In the **Philippines**, wet-season rice harvest has begun under favourable conditions, despite heavy rainfall in Luzon and western areas from several tropical storms enhancing the southwest monsoon. In the **US**, rice conditions are favourable and unaffected by hurricane Harvey due to harvest being completed in those areas.

Soybeans

In the **US**, conditions are favourable with improvement in the Dakotas and in the Eastern Corn Belt. In **Canada**, conditions are mixed as cool wet weather continues to slow crop development in the main producing province of Ontario, while Manitoba is under favourable conditions. In **China**, conditions are favourable for the crop in the flowering stage. In **India**, conditions are generally favourable for the Kharif crop in the vegetative state. In **Ukraine**, conditions are less than favourable as a lack of rain and a rapid drying of the soil have affected crops in the southern, central and eastern regions.

Information on crop conditions in non-AMIS countries can be found in the [GEOGLAM Early Warning Crop Monitor](#), published 7 September 2017

i Pie chart description: Each slice represents a country's share of total AMIS production (5-year average), with the main producing countries (90 percent of production) shown individually and the remaining 10 percent grouped into the "Other AMIS Countries" category. Sections within each country are weighted by the sub-national production statistics (5-year average) of the respective country and accounts for multiple cropping seasons (i.e. spring and winter wheat).

The late vegetative through to reproductive crop growth stages are generally the most sensitive periods for crop development.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (Buenos Aires Grains Exchange, INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RICE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRR), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multiagency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org

Policy developments

Wheat

- After consultations with all stakeholders involved in the supply chain, the Ministry of Supply in **Egypt** announced the elimination of flour subsidies used by bakeries producing subsidized bread. Effective from 1 August 2017, the reform aims at curtailing smuggling and corruption. Subsidies are now granted to the loaf of bread instead of benefiting the whole supply chain. In particular, public bakeries buy flour at market prices from flour mills. The cost of producing a loaf of bread is estimated at EGP 0.144 (USD 0.0082), while the consumer pays EGP 0.05 (USD 0.003).

Maize

- On 17 July, **China's** Ministry of Agriculture approved two new GMO maize varieties (insect-resistant and glyphosate-resistant) for import during a three-year period, which brings the total number of China's GMO approvals to 18 (including four maize crops).
- On 5 July, with a view to reducing import dependency while supporting the expansion of maize cultivation in **Egypt**, the Ministry of Agriculture announced that it will almost double the intervention prices during the 2017-18 fiscal year beginning in July, from EGP 1 700 per tonne (USD 95.24 per tonne) to EGP 3 400 per tonne (USD 190.48 per tonne).
- On 5 July, following the prior delivery of a favourable scientific opinion by the European Food Safety Authority, the **EU** Commission authorized for a 10-year period three genetically-modified organisms for food and feed use, among which Monsanto's GM maize MON 810 is also allowed for cultivation within the EU.
- On 8 August, the **European Commission** re-introduced an import duty on maize of EUR 5.16 (USD 6.13 per tonne) (Commission Regulation 2017/1434), reversing the duty-free conditions in place since November 2014. Sorghum and rye are subject to the same policy change. Access conditions under EU's duty-free tariff quotas (i.e., 450 000 tonnes sourced from Ukraine, and 280 000 tonnes sourced from other supplying countries) are not affected. Pursuant to EU Regulation 642/2010, the calculation of import duties in the cereals sector is automatically triggered based on world reference prices; and on the EU intervention price.
- On 31 August, the **European Commission** announced a raise in maize duty imports from Euro

5.16 per tonne (USD 6.13 per tonne) to Euro 10.95 per tonne (USD 13.10 per tonne), effective the 1st of September 2017.

Rice

- On 20 July, as part of a Comprehensive Economic Dialogue, **China** and the **US** signed a protocol on phytosanitary standards that will allow US rice exports to start, after completion of an audit by China's General Administration of Quality Supervision, Inspection and Quarantine, Agriculture. Colombia's imports of US paddy rice will also resume through ports other than Barranquilla, following the release of amended fumigation requirements on 16 August by the **Colombian** Agricultural Institute.
- On 10 July, **Egypt** announced that the rice export ban would remain in place during the coming harvest. Since 2008, Egypt has intermittently banned rice exports in order to ensure sufficient domestic supplies and preserve water resources. The government also stated that rice would be procured from farmers at market prices.
- On 2 August, the Department of Agriculture, Cooperation and Farmers Welfare in **India** signed a Memorandum of Association with the International Rice Research Institute (IRRI) in the Philippines that will enable the establishment of the IRRI, south Asia Regional Center (ISARC), designed to sustain rice production and capacity development in Eastern India and other South Asian and African countries. The Center is expected to assist farmers in participating countries to improve rice yields and nutritional content; support the adoption of value chain-based production systems; reduce waste; and generate higher incomes.
- On 3 August, the **Philippines** National Food Authority (NFA) published Council Resolution 862-2017-H setting out a minimum access quota for 805 200 tonnes of rice at a 35 percent tariff for 2017. Country-specific allocations in tonnes are: Australia 15 000; China, India and Pakistan, 50 000 each; El Salvador 4 000; Thailand and Viet Nam, 293 100 each; any origin 50 000.
- The NFA in the **Philippines** is also considering substantially increasing procurement of local paddy to 1.2 million tonnes, up from the 225 000 tonnes targeted for 2017 (estimated budget needed: PHP 21.6 billion/ USD 423.5 million), while lessening



AMIS Policy database

Visit the **AMIS Policy database** at: <http://statistics.amis-outlook.org/policy/>

The **AMIS Policy database** gathers information on trade measures and domestic measures related to the four AMIS crops (wheat, maize, rice, and soybeans) as well as biofuels. The design of this database allows comparisons across countries, across commodities and across policies for selected periods of time.

reliance on imports to replenish public stocks and meet distribution needs

- On 4 August, the National Rice Policy and Management Committee in **Thailand** approved three financial schemes to support rice farming, selling and processing, especially in cultivation areas that are prone to floods. Support involves the provision of credit facilities (around THB 46.25 million/USD 1.4 million); waiving loan interest payments (approximately 940 million baht/USD 28.2 million) subject to farmers keeping paddy stocks for longer periods (two to six months); and direct payments of THB 1 000 per tonne (USD 30 per tonne) for delivery of rice into storehouses. Each rice-producing household will also receive financial support of up to THB 12 000 (USD 361) for harvest.

Soybeans

- On 24 August, the Ministry of Agroindustry in **Argentina** announced the resumption of soybean oil exports to China.
- In **Brazil**, the Soybean-Free Institute was inaugurated on 2 August in the State of Mato Grosso with a view to promote the production, processing and exportation of non-genetically modified soybeans. Dedicated storage and loading facilities are available at Porto Velho on the Madeira River to export conventional soybeans, mainly to European and Asian markets.
- Following the support initially expressed by **EU** Agriculture Ministers in June 2017, the European Soya Declaration was signed by 13 member States of the European Union on 31 July. As reported in the last Market Monitor, the Declaration supports local, regional, national and European initiatives to develop sustainable domestic protein supplies, in particular derived from soybeans.
- On 11 August, **India** increased the import tariff on crude soybean oil from 12.5 percent to 17.5 percent. The increase in import duties is meant to restrict cheap imports and thereby help farmers who are facing low domestic prices of oilseeds due to bumper production.

Across the board

- On 20 July, **China** notified the WTO of draft standards on several maximum residue limits for pesticides in foods, including wheat, maize and soybeans. The deadline for submitting comments on the proposed standards is 18 September (notification SPS/N/CHN/1054).
- On 11 July, the Ministries of Agriculture of **China** and **Kazakhstan** agreed to strengthen trade and

cooperation in the area of agriculture, which include Kazakhstan's commitment to supply 200 000 tonnes of grain and 100 000 tonnes of oil crops to China; the construction of a grain terminal at the Kazakh-Chinese border; and enhanced investment, technology transfer and innovation in agriculture production, grain processing and food safety infrastructure.

- Following adoption by **EU** member States on 11 July, the EU-Ukraine Association Agreement will enter into force on 1 September. The agreement comprises the Deep and Comprehensive Free Trade Agreement (DCFTA) between EU and Ukraine, which has been provisionally applied since 1 January 2016. Beyond DCFTA trade concessions, the EU Council decided on 17 July to establish additional duty-free tariff quotas for several agricultural products from Ukraine, including: wheat 65 000 tonnes; maize 625 000 tonnes; barley 325 000 and oats 4 000 tonnes. These enhanced market access conditions will remain in place for 3 years.
- On 20 July, the **European Commission** launched a new Crops Market Observatory. The Observatory gathers experts and analysts from 14 farms, trading and processing industries that are active in the grains supply chain, and aims at mitigating the effects of market volatility through dissemination of market data and analysis, for the benefit of the cereal, oilseed and protein crop farming and trading communities.
- On 20 July, the Ministry of Agriculture and Industry of **Italy** introduced a new labelling policy for durum wheat in pasta (Decree No. 17A05704) and rice (Decree No. 17A05698). The packaging and labelling must indicate where wheat and rice crops were grown and milled. In addition, the labels must also indicate where the rice was treated and packaged. The new requirements enter into force on 16 February 2018 (rice) and 17 February 2018 (durum wheat) for a trial period until 30 September 2020.
- As of the end of August 2017, the Consumer Affairs Agency in **Japan** requires country-of-origin labelling for all processed foods. Hence, retailers are mandatorily required to provide country-of-origin labelling for the main ingredient used in any processed product, by weight. Where the main ingredient is imported from multiple sources, the countries of origin must be ranked in descending order, by weight.
- In the wake of the recent tropical floods that affected 700 000 ha of land, **Thailand** approved a relief package worth THB 1.6 billion (USD 48 million) that could potentially benefit more than 560 000 rural households.
- On 2 August, **Turkey's** Biosafety Board approved 3 soybean and 1 maize genetically-modified varieties and their products, for feed use.

Biofuels

- On 23 August, **Brazil's** Chamber of Commerce approved a 20 percent tariff on ethanol imports, to be charged above an annual duty-free tariff quota of 600 million litres. The tariff level will be re-evaluated after two years.
- In the wake of WTO's dispute settlement proceedings concerning **EU's** application of anti-dumping duties on biodiesel imports, on 19 July the European Commission lowered anti-dumping tariffs applied on biodiesel from Argentina by up to 10.6 percent and by up to 6.9 percent on imports from Indonesia. Since 2013, the EU had assessed anti-dumping tariffs of up to 25.7 percent on Argentina's and up to 20.5 percent on Indonesia's imports.
- On 29 June, the **European Parliament's** Environment, Public Health and Food Safety Committee issued an opinion on the European Strategy for Low Emission Mobility (2016/2327(INI)), showing support for keeping crop-based biofuels in the EU transport energy mix.
- On 6 July, citing concerns over deforestation in the countries of origin, the Ministry of Environment in **France** announced that it was considering steps to reduce the use of palm oil in biofuel production.
- On 10 August, the **Indian** Oil Ministry indicated that it intends to promote biofuels as part of efforts to cut imports of fossil fuels like oil, gas and coal. India's carbon footprint may also be lowered by raising the

use of natural gas in the energy mix to 15 percent in the next three to four years, up from 6.5 percent currently.

- On 5 July, the **US** Environment Protection Agency proposed to reduce the renewable fuel volume requirements from 2017 levels for calendar year 2018 as follows: cellulosic biofuels: from 311 to 238 million gallons; advanced biofuels: from 4.28 to 4.24 billion gallons; and total renewable fuels: from 19.28 to 19.24 billion gallons. The 2018 target for conventional ethanol, which is mostly produced from maize, was kept at 15 billion gallons. The Agency also proposed maintaining the biomass-based diesel volume standard unchanged at 2.1 billion gallons for calendar year 2019. Comments were received up to 31 August and public hearings are ongoing.
- Following a petition by the National Biodiesel Fair Trade Coalition in the **US**, the US Department of Commerce issued preliminary determinations in the countervailing duty investigations on biodiesel exports from Argentina and Indonesia on 22 August. The investigated companies were found to have received subsidies of 50.29 to 64.17 percent and 41.06 to 68.28 percent, respectively in Argentina and Indonesia. Final affirmative determinations by the US Department of Commerce and the International Trade Commission are yet to be made, after which countervailing duty orders could be issued by the end of 2017.

International prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Aug 2017 Average*	% Change	
		M/M	Y/Y
GOI	192	-3.8%	-3.4%
Wheat	179	-8.6%	+11.9%
Maize	166	-2.3%	-14.0%
Rice	164	-1.5%	+3.1%
Soybeans	189	-2.7%	-10.2%

*Jan 2000=100, derived from daily export quotations

Wheat

While some price support continued to come from concerns about potentially tight supplies of higher grade milling wheats, especially in North America, this was overshadowed by increasing confidence that overall world wheat availabilities would remain heavy. Escalating expectations for harvests in the Black Sea region were a particularly bearish influence, with many forecasts for Russia's crop rising above a record 80 million tonnes. While potential logistical constraints for Black Sea exports were highlighted, traders at other origins anticipated strong competition. Amid competitive prices, the Russian Federation was generally seen likely to be the world's largest wheat exporter in 2017/18. With declines accelerating from mid-month, the IGC GOI wheat sub-Index fell by 9 percent m/m, but remained some 12 percent higher y/y.

Maize

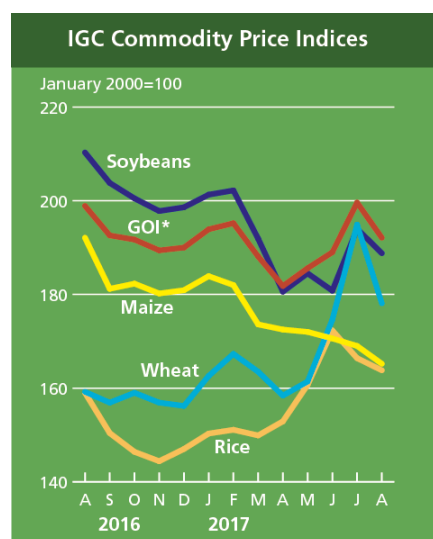
A weaker tone prevailed across world maize markets in August against a backdrop of ample global availabilities. With advances in Brazil outweighed by declines at other main origins, the IGC GOI maize sub-Index was down by 2 percent m/m. US quotations eased on improved domestic production prospects and robust competition for export business from South America. However, hurricane-related logistical problems at US Gulf ports helped to limit overall declines. With export prices in South America underpinned by reluctant farmer selling, the price spread between Brazil and the US narrowed over the month.

Rice

Against the backdrop of declines at leading Asian origins, global white and parboiled export values eased during August, the IGC GOI rice sub-Index dropping by around 1 percent m/m. Despite reports of potential purchases by Bangladesh and the Philippines to boost reserves, generally slower buying interest weighed on sentiment in Thailand, resulting in the 5 percent broken grade slipping to a four-month low. In Viet Nam, too, prices retreated slightly, although tighter supplies ahead of the kharif crop harvest provided mild underpinning to quotations in India. By contrast, milled rice export prices in the US advanced sharply, linked to prospects for a heavy drop in 2017/18 output.

Soybeans

As pressure from beneficial Midwest crop conditions and heavy South American availabilities outweighed light support from firmer export demand, the IGC GOI soybean sub-Index fell by 3 percent m/m. Improving production prospects in the US were highlighted by better weekly crop condition ratings, while USDA's August WASDE report, which included an upgraded yield outlook, weighed on sentiment. However, losses were capped by strengthening export interest, especially from buyer in China. Reflecting falls in the US, coupled with pressure from a large local exportable surplus, prices in Brazil also weakened, despite support at times from continued slow farmer selling, robust shipments and firmer internal transport costs.

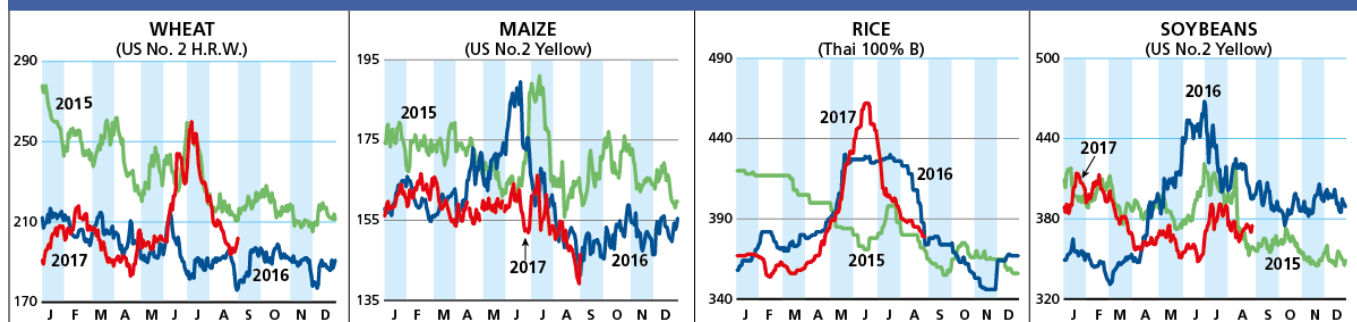


*GOI: Grains and Oilseeds Index

		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
		(..... January 2000 = 100)				
2016	August	198.9	159.2	192.1	159.0	210.3
	September	192.6	156.9	181.2	150.4	203.8
	October	191.7	159.0	182.3	146.4	200.5
	November	189.4	156.9	180.2	144.4	197.8
	December	190.0	156.2	180.9	147.0	198.6
2017	January	193.9	162.6	183.9	150.3	201.3
	February	195.2	167.3	182.0	151.1	202.2
	March	188.1	163.5	173.6	149.9	191.9
	April	181.8	158.4	172.5	152.9	180.6
	May	185.6	161.4	172.0	160.7	184.5
	June	189.0	174.6	170.6	172.3	180.8
	July	199.6	194.9	169.0	166.4	194.0
	August	192.1	178.1	165.2	163.8	188.8

Selected export prices, currencies and indices

Daily quotations of selected export prices (USD/tonne, 2015-2017)

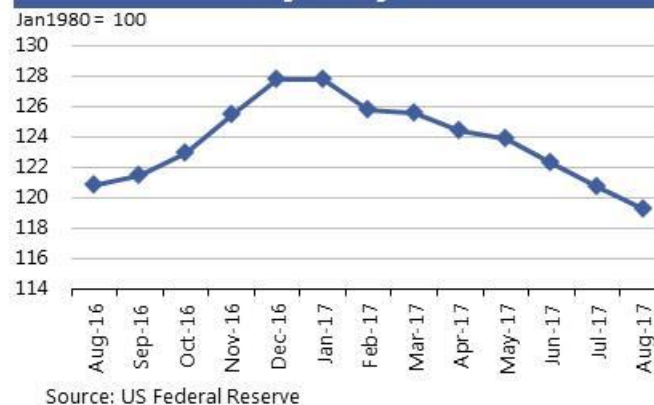


Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	31-Aug	202	197	217	177	2.5%	14.1%
Maize (US No. 2, Yellow)	31-Aug	147	145	153	151	1.0%	-3.2%
Rice (Thai 100% B)	31-Aug	379	383	394	388	-1.0%	-2.3%
Soybeans (US No.2, Yellow)	31-Aug	375	376	388	408	-0.3%	-8.1%

AMIS Countries' Currencies Against US Dollar

AMIS Countries	Currency	August 2017 Average	Monthly Change	Annual Change
Argentina	ARS	17.4	-1.3%	-17.4%
Australia	AUD	1.3	1.4%	3.7%
Brazil	BRL	3.2	1.5%	1.7%
Canada	CAD	1.3	0.7%	3.0%
China	CNY	6.7	1.5%	-0.3%
Egypt	EGP	17.7	0.9%	-99.5%
EU	EUR	0.8	2.4%	5.2%
India	INR	64.0	0.7%	4.4%
Indonesia	IDR	13,341.7	0.0%	-1.4%
Japan	JPY	109.8	2.3%	-8.4%
Kazakhstan	KZT	333.5	-2.2%	3.0%
Rep. Korea	KRW	1,130.2	0.2%	-1.8%
Mexico	MXN	17.8	0.1%	3.8%
Nigeria	NGN	307.9	1.7%	2.8%
Philippines	PHP	51.0	-0.7%	-9.4%
Russian Fed.	RUB	59.4	0.4%	8.5%
Saudi Arabia	SAR	3.8	0.0%	0.0%
South Africa	ZAR	13.2	-0.7%	4.1%
Thailand	THB	33.2	1.4%	4.2%
Turkey	TRY	3.5	1.5%	-18.4%
UK	GBP	0.8	-0.3%	-1.1%
Ukraine	UAH	25.6	1.2%	-2.0%
Viet Nam	VND	22,726.7	0.0%	-2.1%

FAO Food Price Index
Aug2016-Aug2017Nominal Broad Dollar Index
Aug2016-Aug2017

Futures markets

Futures Prices – nearby

	Aug-17 Average	% Change	
		M/M	Y/Y
Wheat	158	-14.9%	+5.3%
Maize	139	-6.5%	+9.3%
Rice	271	+3.3%	+25.6%
Soybeans	346	-5.3%	-6.6%

Source: CME

Futures prices

Prices for wheat, maize, soybeans fell sharply throughout the month, continuing their downward trend since early July when prices for all three commodities reached one-year highs. Unusually cool weather during August added crop yield potential to soybeans and maize. Burgeoning global wheat production, especially in the Black Sea region, caused a retreat in wheat values even as US production forecast was lowered m/m. Conversely, rice prices continued their four-month surge. Reports of lower yields and harvested acreage have caused rice prices to increase by over 35 percent since reaching a low during May 2017. Prices for wheat, maize and soybean were lower by approximately 14, 6 and 5 percent respectively m/m, while rice prices were 3 percent higher. Despite the swift price declines, wheat and maize values remained 6 and 10 percent higher respectively y/y, possibly supported by a weakening USD, which has declined about 10 percent since the beginning of the calendar year, as calculated by the USD Index. Rice prices were a lofty 26 percent higher y/y while soybean prices were about 7 percent lower.

Volumes and volatility

Trade volumes were unchanged for wheat and moderately lower for maize and soybeans m/m. Volumes for all three commodities were higher y/y. Historical volatility, which had soared during July - reaching above the 40 level for wheat - declined to around the 20 level for all three commodities by end month. Implied Volatility reflected a similar up and down pattern for wheat and maize but was mostly steady for soybeans.

Basis levels and transport

Basis levels for maize and soybeans remained soft in the interior as they have for the whole crop year. In Illinois, the interior bids to local elevators were minus USD 10 and minus USD 7 per tonne under the September futures prices for maize and soybeans respectively. In Iowa, the bids for maize were about unchanged minus USD 17 and bids for soybeans firmed to minus USD 19 (both under the respective September futures), but were unusually low for the pre-harvest season. Conversely, domestic soft red wheat values firmed with some quotes attaining par with the September futures prices for delivery into

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Aug-17	Jul-17	Aug-16
Wheat	33.4	38.4	25.7
Maize	28.6	26.6	27.5
Rice	18.3	20.4	32.9
Soybeans	24.0	20.0	32.6

northern mills. Gulf export quotations were weak for maize at around USD 9, and firm for soybeans and soft red wheat at around USD 21 and USD 17 all over respective September futures. Export clearances for maize and soybeans slowed from their previous pace, to end at 23 and 17 percent respectively higher at end of their crop years (September 1). Export clearances for wheat, which began its crop year on June 1, were 17 percent higher than same period previous year. Barge freight firmed to USD 17 per tonne (Illinois River to Gulf quotation) following months of cheap transport rates. Export shipping from the port of New Orleans, Louisiana remained unaffected by hurricane Harvey, which shuttered operations at Galveston, Texas, primarily a wheat export point.

Forward curves

Forward curves for wheat, maize and soybean exhibited a relaxation of their front end as crop projections tended to rise and prices fell. Soybeans reflected the least amount of one year forward carry at about USD 7 between November 2017 and November 2018 compared to the maize one year forward carry of USD 16 and wheat forward carry of USD 29 (calculated on the December 2017 and 2018 maize and wheat contracts). However, the lack of deliveries against the September soybean contract (one contract) and the September wheat contract (zero contracts) could flatten the slopes of those two price curves. Deliveries against the maize September futures were relatively heavy at 844 contracts, reflecting the weak domestic and export bases.

Investment flows

Managed money switched strategies again for the third time in five months establishing net short positions for wheat, maize and soybeans as the prices retreated to near term lows. Managed money has again aligned itself with commercials which have remained on the short side of the market in wheat and maize all year while alternating in soybeans between long and short. Managed money net sold 85 000 wheat contracts, 108 000 maize contracts and 61 000 soybeans contracts m/m to turn from net long to net short. Their timing is interesting since grain market prices often reach their lows around the early September period.

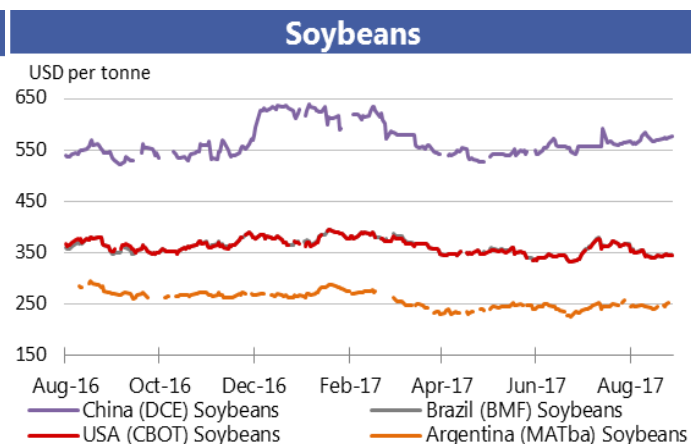
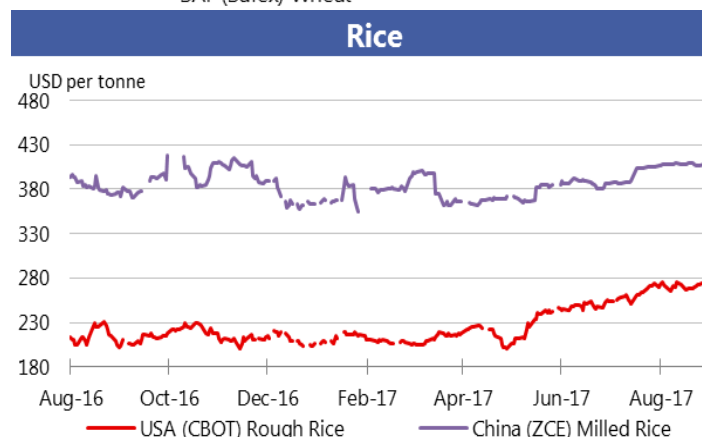
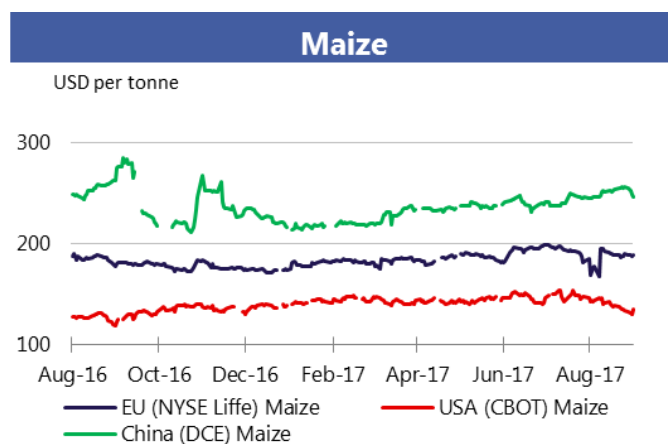
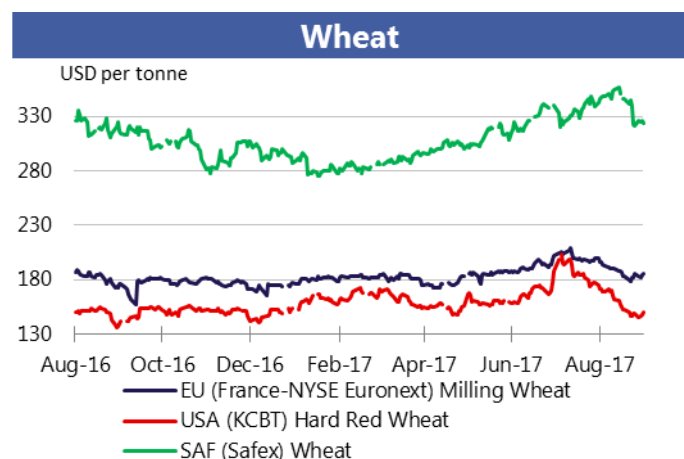
Glossary

For more information on technical terms please view the Glossary at the following link:

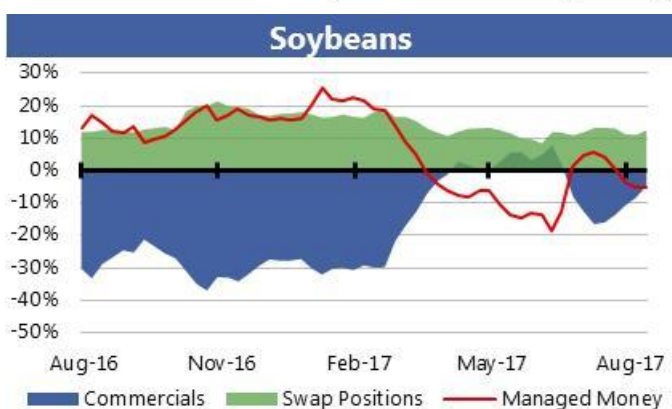
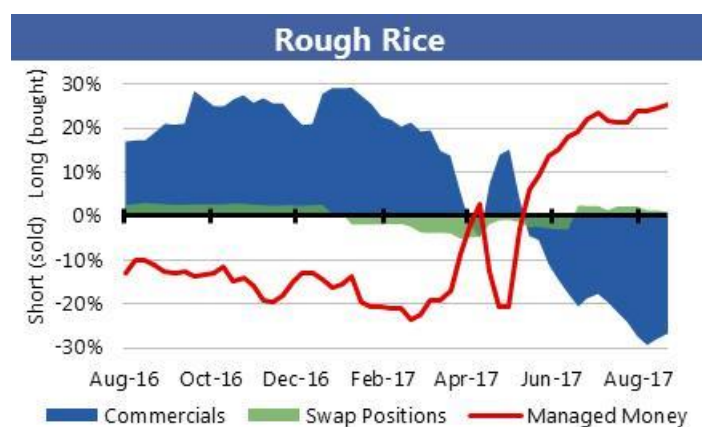
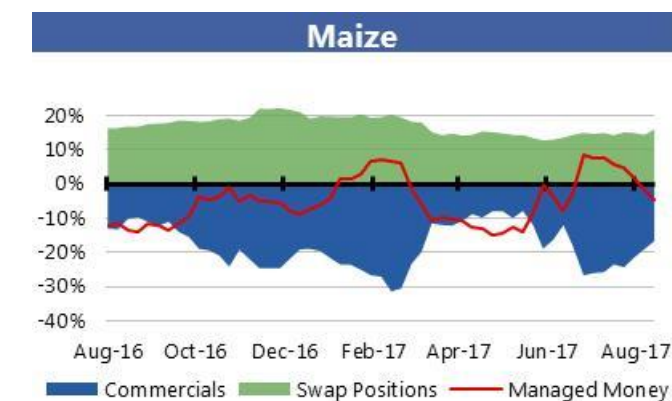
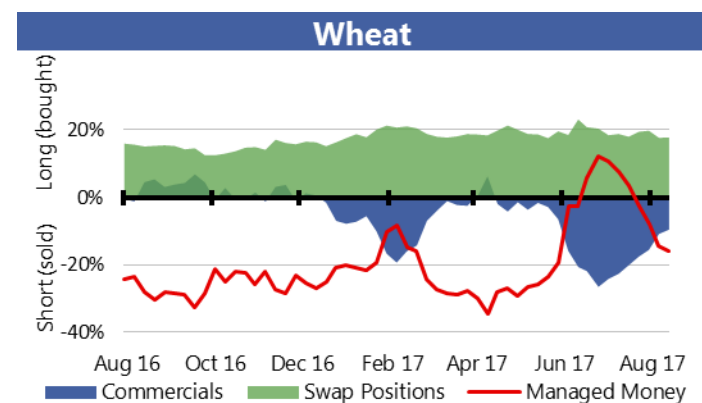
http://www.amis-outlook.org/fileadmin/user_upload/amis/docs/Market_monitor/Glossary.pdf

Market indicators

Daily quotations from leading exchanges - nearby futures

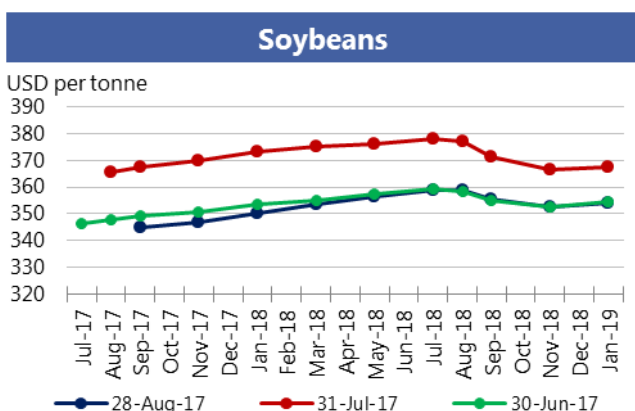
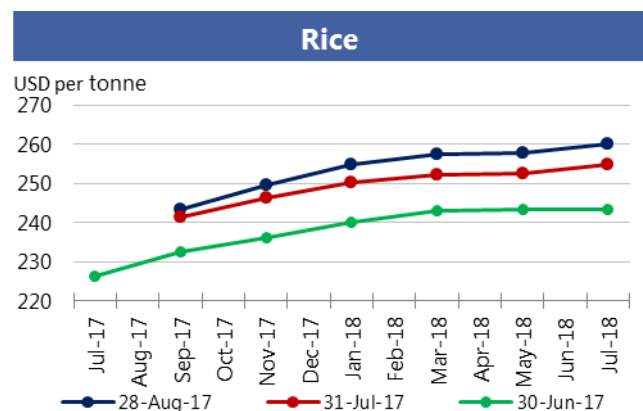
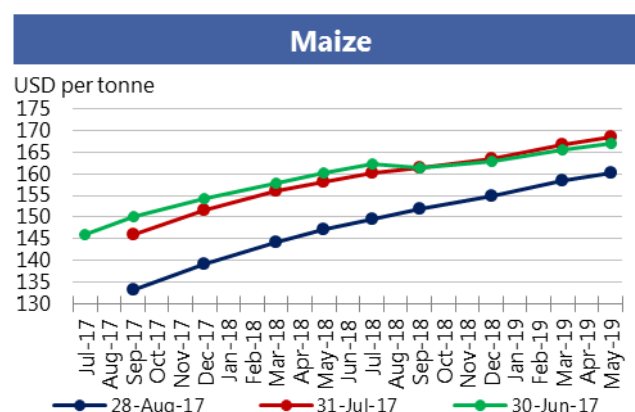
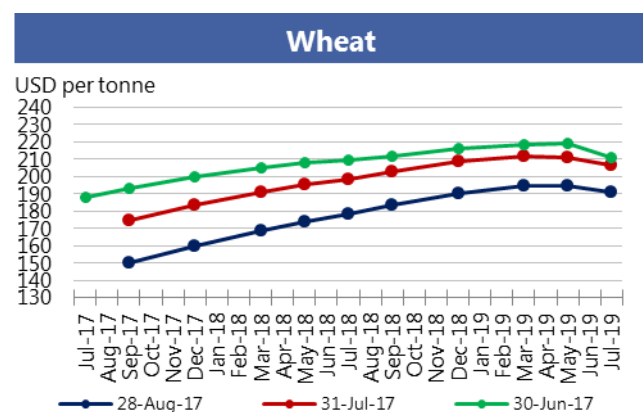


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

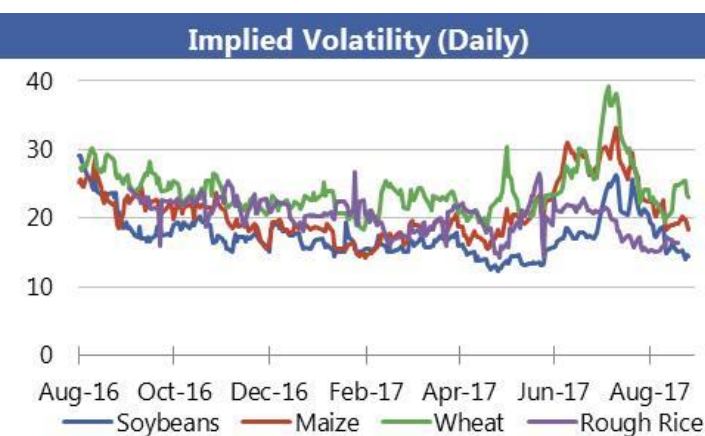
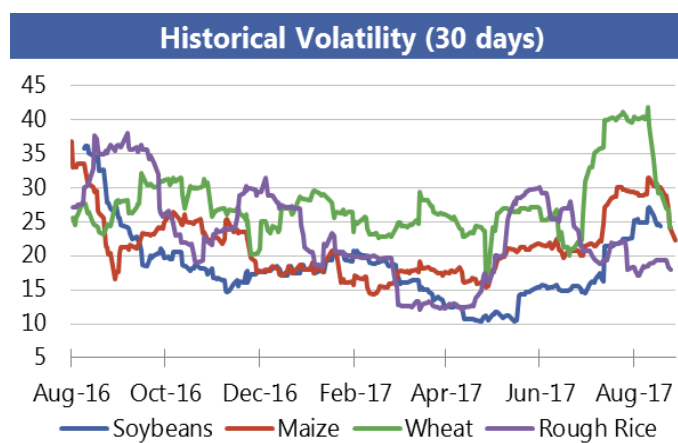


*Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



AMIS Market indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at: <http://www.amis-outlook.org/amis-monitoring/indicators/>

Monthly US ethanol update

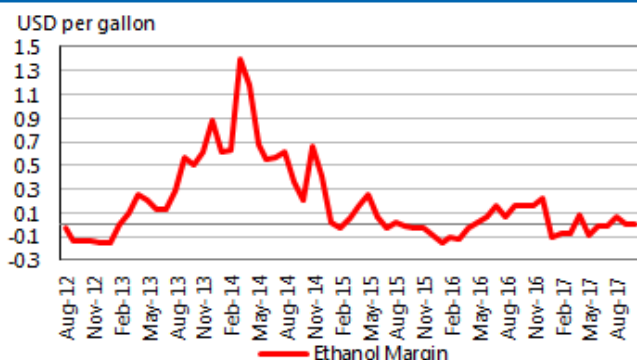
- **Ethanol margins** increased in August.
- **Ethanol spot and nearby futures prices** increased in August, along with RBOB gasoline prices. Ethanol futures prices averaged 9 cents lower than gasoline.
- **Domestic maize prices** decreased during the month, leaving the average maize price 17 cents per bushel lower in August. Other production costs were unchanged. Increased ethanol and DDGs receipts increased margins as feedstock prices decreased.
- Receipts from **DDGs** increased 2 cents per gallon and remained at a significant discount to domestic maize prices.
- **Ethanol production** increased in August, with an annual pace of 16.1 billion gallons.

Spot prices IA, NE and IL/eastern corn belt average	Aug 2017*	Jul 2017	Aug 2016
Maize price (USD per tonne)	132.35	138.88	122.87
DDGs (USD per tonne)	109.78	105.09	124.31
Ethanol price (USD per gallon)	1.50	1.49	1.37
Nearby futures prices CME, NYSE			
Ethanol (USD per gallon)	1.53	1.52	1.43
RBOB Gasoline (USD per gallon)	1.62	1.58	1.41
Ethanol/RBOB price ratio	94.4%	96.5%	101.8%
Ethanol margins IA, NE and IL/eastern corn belt Average (USD per gallon)			
Ethanol receipts	1.50	1.49	1.37
DDGs receipts	0.34	0.32	0.38
Maize costs	1.22	1.28	1.14
Other costs	0.55	0.55	0.55
Production margin	0.07	-0.02	0.07
Ethanol production (million gallons)			
Monthly production total	1 372	1 328	1 330
Annualized production pace	16 150	15 640	15 661

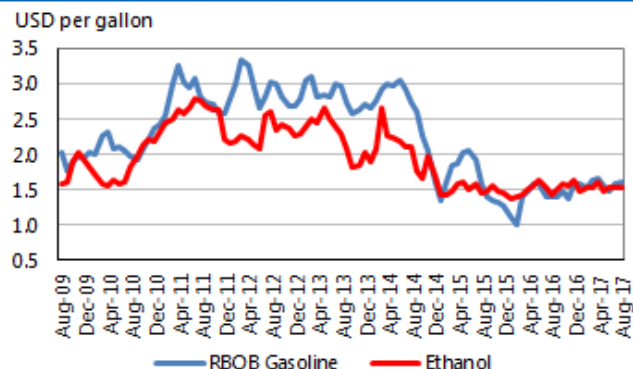
Based on USDA data and private sources

* Estimated using available weekly data to date.

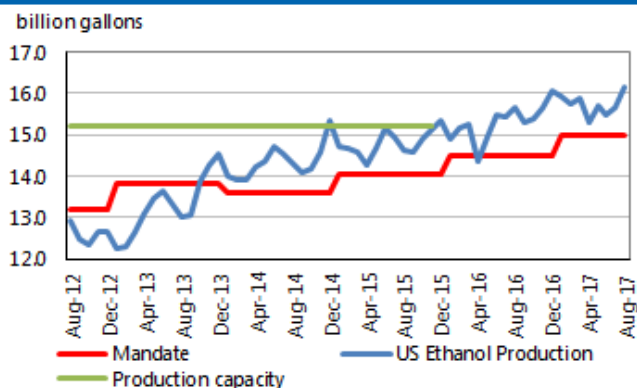
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

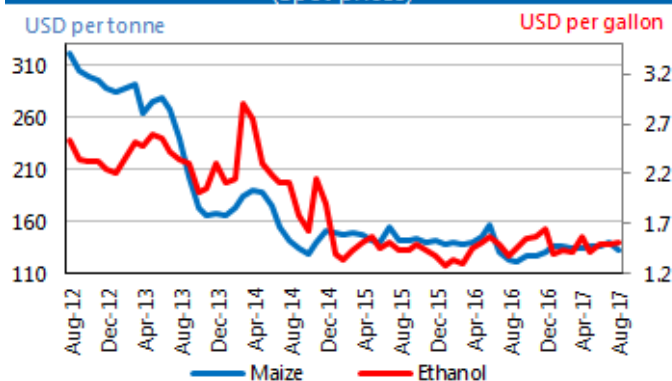


Chart and tables description

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

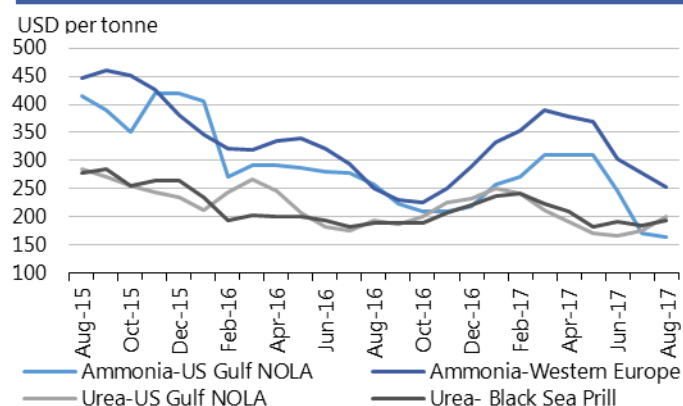
Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

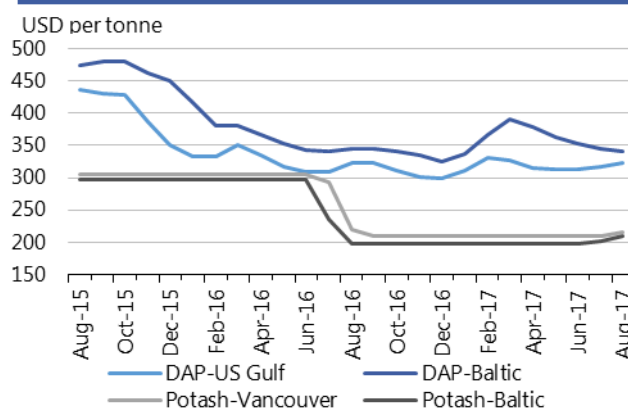
RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Fertilizer outlook

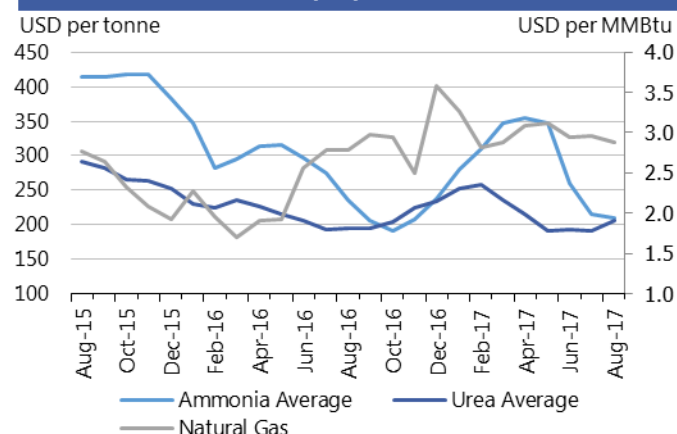
Ammonia and Urea
(Spot prices)



Potash and Phosphate
(Spot prices)



Ammonia Average, Urea Average and Natural Gas
(Spot prices)



- **Ammonia** prices continued to drop in August, especially in the US where production expanded due to cheaper natural gas prices. The global oversupply, because of US production expansion, has led suppliers in other countries to cut their production.
- **Urea** prices increased globally m/m, particularly in the US Gulf, after reaching their two-year-minimum value during May-July period. The price increase was mainly driven by a supply decrease both in the US and other major producers.
- **DAP** m/m prices changed slightly both in the US (increase) and in the Baltic (decrease). While global supply increased due to higher Chinese exports, global demand also increased, keeping overall prices relatively steady.
- **Potash** prices increased m/m in both the Baltic and the US due to a moderate increase in global demand.
- The price of **natural gas** decreased m/m due to poor demand expectations as a result of weather conditions in the US.

Region	August average	August std. dev	% change last month*	% change last year*	12-month high	12-month low
Ammonia-US Gulf NOLA	165.0	-	-3.6%	-35.7%	310.0	165.0
Ammonia-Western Europe	253.8	2.5	-8.6%	1.0%	390.0	225.0
Urea-US Gulf	200.0	5.9	13.8%	3.5%	249.8	166.8
Urea-Black Sea	194.0	6.2	5.6%	2.8%	241.8	181.3
DAP-US Gulf	323.5	2.4	1.9%	0.4%	331.8	300.0
DAP-Baltic	340.0	5.8	-1.4%	-1.4%	390.0	325.0
Potash-Baltic	209.0	3.5	3.6%	5.6%	209.0	198.0
Potash-Vancouver	216.0	-	2.6%	-1.3%	216.0	209.0
Ammonia	210.0	3.2	-2.3%	-10.7%	355.6	191.3
Urea	205.4	7.3	7.2%	5.0%	257.5	192.0
Natural Gas	2.9	0.1	-2.9%	3.0%	3.6	2.5

All prices shown are in US dollars

Source: Own elaboration based on Bloomberg



Chart and tables description

Ammonia and Urea: Overview of nitrogen-based fertilizer prices in the US Gulf, Western Europe and Black Sea. Prices are weekly prices averaged by month.
Potash and Phosphate: Overview of phosphate and potassium-based fertilizer prices in the US Gulf, Baltic and Vancouver. Prices are weekly prices averaged by month.
Ammonia Average and Urea Average: Monthly average prices from Ammonia's US Gulf NOLA, Middle East, Black Sea and Western Europe were averaged to obtain Ammonia Average prices; monthly average prices from Urea's US Gulf NOLA, US Gulf Prill, Middle East Prill, Black Sea Prill and Mediterranean were averaged to obtain Urea Average prices.
Natural Gas: Henry Hub Natural Gas Spot Price from ICE. Prices are intraday prices averaged by month. Natural gas is used as major input to produce nitrogen-based fertilizers.
DAP: Diammonium Phosphate.

Explanatory Notes

The notions of **tightening** and **easing** used in the summary table of **“World Supply and Demand”** reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion **“FAO-AMIS”**). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2016 production is allocated to the 2016/17 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2016 production also includes secondary crops gathered in 2017. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2016) with production of the southern hemisphere of the second year (2017 production) in the corresponding 2016/17 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. FAO-AMIS and IGC wheat trade data includes wheat flour in wheat grain equivalent. USDA wheat trade data also includes wheat products. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Stocks: In general, stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

AMIS - GEOGLAM Crop Calendar

Selected leading producers

Wheat		J	F	M	A	M	J	J	A	S	O	N	D
EU (21%)*	winter												
	spring												
China (17%)	winter												
India (13%)	winter												
US (8%)	spring												
	winter												
Russia (8%)	spring												
	winter												
Maize		J	F	M	A	M	J	J	A	S	O	N	D
US (35%)													
China (22%)	north												
	south												
Brazil (8%)	1st crop												
	2nd crop												
EU (7%)													
Argentina (3%)													
Rice		J	F	M	A	M	J	J	A	S	O	N	D
China (29%)	intermediary crop												
	late crop												
	early crop												
India (21%)	kharif												
	rabi												
Indonesia (9%)	main Java												
	second Java												
Viet Nam (6%)	winter-spring												
	summer/autumn												
	winter												
Thailand (4%)	main season												
	second season												
Soybeans		J	F	M	A	M	J	J	A	S	O	N	D
USA (31%)													
Brazil (29%)													
Argentina (18%)													
China (4%)													
India (3%)													

* Percentages refer to the global share of production (average 2013-15).

	Planting (peak)		Harvest (peak)
	Planting		Harvest
	Weather conditions in this period are critical for yields.		Growing period

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, IFPRI, IGC, Reuters, USDA, US Federal Reserve

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